GROWTHSPRING INVESTMENT CLUB

NEW MEMBER CONSTITUTION SUMMARY (KEY RULES)

1. Who We Are

GrowthSpring Investment Club is a member-based savings, loans, and investment club. Members pool savings to access credit (loans) and to invest together over time.

2. Mission

To improve members' socio-economic welfare through collective saving and investing, with accessible and flexible credit services—so every member thrives.

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3. Joining the Club (What It Means)

3.1 Membership is by Invitation

- GrowthSpring membership is **by invitation only**.
- You become a full member after acceptance and completing the joining requirements (including any joining fee, if applicable).

3.2 Next of Kin

- Every member must provide **next of kin** details.
- These details must be kept up to date.

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4. Your Savings

4.1 Minimum Monthly Saving

- You are expected to save at least **UGX 20,000 per month**.
- You may deposit in smaller amounts anytime, as long as the month's total reaches the minimum.

4.2 Proof of Payment

- Every deposit must have proof (bank slip / mobile money confirmation / approved evidence) for proper records.

4.3 Savings Are Not Withdrawable While You Are a Member

This is a core rule of GrowthSpring:

- **You cannot withdraw your Savings Fund savings unless you are exiting the Club.**
- If you want to use money while you are still a member, it will always be through a **loan**.
- **Loans must be paid back. Loans are not withdrawals.**

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5. Loans

5.1 What Loans Are For

Loans exist to help members handle needs while protecting the Savings Fund for everyone.

5.2 Interest

- Loan interest is **2% per month** on the remaining balance.

5.3 Loan Limit (Depends on Behavior)

- Your maximum loan limit is **between 1.2× and 1.7× of your savings**, depending on your saving consistency and repayment behavior.
- Members with strong repayment discipline qualify for higher limits; poor repayment reduces limits.

5.4 New Members Have Extra Restrictions (Protection Rule)

For new members, the Club protects the group and tests trustworthiness:

- **A new member can only borrow up to the amount of their savings.**
- Borrowing above savings is allowed only if:
    1. one or more existing members agree to be **guarantors** for the extra amount; **or**
    2. the member has spent sufficient time in the Club for the Club to assess reliability and trustworthiness, and approval is granted.

This rule protects the Club from high-risk borrowing before a member is proven.

5.5 Repayment Discipline

- Loans must be repaid on schedule.
- Repeated late repayment affects your future loan limit and eligibility.

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6. Points (Savings Reward System)

- Points are earned through saving: **3 points per UGX 10,000 saved**.
- Points may support certain loan interest rules as applied by the Club.
- The initial **500 points** are restricted (cannot be transferred/sold).

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7. Land Scheme (Optional Participation) — Slot System

GrowthSpring may run land investment cycles that members can choose to join.

7.1 Slot Basics

- A **slot** is one unit of participation.
- Each slot targets **UGX 1,800,000**, payable over up to **3 years**.
- Each fully paid slot earns **one equal share** of land bought in that cycle.

7.2 Fairness Rule (One Slot First)

- During the main fundraising period, each member is usually allowed only **one slot**, so everyone has a chance.
- Extra slots may be allowed later if slots are unused or dropped, based on the club's decision.

7.3 Yearly Thresholds and Fines

- Each year has a minimum target contribution per slot (example: UGX 600,000 per year).
- Missing targets may attract fines designed to keep the plan predictable and serious.

Note: Land scheme rules are detailed in the Financial Policy and may be updated per cycle.

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8. Conduct and Membership Expectations

To keep the Club safe and stable:

- Members should communicate honestly and respect others.

- Fraud, repeated conflict, or actions that harm the Club can lead to discipline, suspension, or expulsion.
- Members are expected to be responsible with loans and respect Club rules.

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9. Exiting the Club (How You Get Your Savings Back)

9.1 Exit Process

- If you choose to exit, you must give written notice and complete the **Withdrawal Form**.

9.2 What You Receive

On exit, you receive:

- your Savings Fund savings and any returns due to you, **minus** any unpaid loans, obligations, or liabilities.

9.3 Timing and Scheme Continuity

- To protect ongoing schemes, the Club may apply an orderly exit process (for example, allowing your position in a scheme to be taken over/auctioned where applicable) before final settlement.

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10. Your Decision Checklist (Before You Join)

Ask yourself:

1. Can I save **UGX 20,000+ every month** consistently?
2. Am I okay with **no savings withdrawals unless I exit**?
3. If I need funds, am I comfortable using **loans that must be repaid**?
4. Can I maintain good repayment discipline to qualify for higher loan limits?
5. Do I understand that new members can only borrow up to their savings unless guaranteed or proven trustworthy over time?
